

own investments. They want to get very involved in investment decision making and aren't afraid to roll up their sleeves and do due diligence on contemplated investments. Let's turn our attention to the first of two active behavioral investor types, the Independent Individualist (II).

An Independent is an active investor with medium-to-high risk tolerance who is strong-willed and an independently minded thinker. Independents are self-assured and "trust their instincts" when making investment decisions; however, when they do research on their own, they may be susceptible to acting on information that is available to them rather than getting corroboration from other sources. Sometimes advisors find that an Independent client made an investment without consulting anyone. This approach can be problematic because, due to their independent mind-set, these clients often irrationally cling to the views they had when they made an investment, even when market conditions change, making advising Independents challenging. They often enjoy investing, however, and are comfortable taking risks, but often resist following a rigid financial plan.

Some Independents are obsessed with trying to beat the market and may hold concentrated portfolios. Of all behavioral investor types, Independents are the most likely to be contrarian, which can benefit them—and lead them to continue their contrarian practices. Independent Individualist biases are cognitive: conservatism, availability, confirmation, representativeness, and self-attribution.

## Conservatism Bias

**Bias type:** Cognitive

Conservatism bias occurs when people cling to a prior view or forecast at the expense of acknowledging new information. Independents often cling to a view or forecast, behaving too inflexibly when presented with new information. For example, assume an investor purchases a security based on the knowledge about a forthcoming new product announcement. The company then announces that it is experiencing problems bringing the product to market. Independents may cling to the initial, optimistic impression of the new product announcement and may fail to take action on the negative announcement.

**Simple diagnostic for conservatism bias:** On a scale of 1 to 5, with 5 being full agreement, how much do you agree with the following:

**I don't easily change my views about investments once they are made.**

Answering 3 to 5 shows a tendency toward conservatism bias.